

NexusIQ Corporation — Regional Performance Analysis

FY 2024 Full-Year Review | Prepared by: Strategy & Analytics | Date: January 20, 2025

Scope: All five regions | Total Revenue: \$175,595,178.16 | Classification: Internal

1. Full-Year Regional Revenue Summary

NexusIQ operates across five geographic regions, each served by 20 retail and distribution stores. The West region led FY 2024 revenue at \$37,880,499.39 despite having the second-smallest customer count of 2,351. East followed at \$36,314,020.57 with 3,676 customers. Central placed third at \$35,679,253.01 with 4,599 customers — the largest customer base of any region. South came fourth at \$35,470,111.47 with 2,330 customers, and North trailed at \$30,251,293.72 with 2,023 customers.

The counter-intuitive relationship between customer count and revenue — where West generates more revenue than Central despite having 49% fewer customers — is the central theme of this analysis. The explanation lies in customer composition, category affinity, and average transaction value differences across regions.

Region	FY 2024 Revenue	% of Total	Customers	Revenue per Customer	Rank by Revenue
West	\$37,880,499.39	21.6%	2,351	\$16,113.78	1st
East	\$36,314,020.57	20.7%	3,676	\$9,880.37	2nd
Central	\$35,679,253.01	20.3%	4,599	\$7,757.83	3rd
South	\$35,470,111.47	20.2%	2,330	\$15,224.51	4th
North	\$30,251,293.72	17.2%	2,023	\$14,955.51	5th
Total	\$175,595,178.16	100%	14,979	\$11,722.76 avg	—

2. Why West Outperformed South in FY 2024

West and South have similar customer counts — 2,351 and 2,330 respectively — making them directly comparable for revenue-per-customer analysis. West generated \$37,880,499.39 versus South's \$35,470,111.47, a difference of \$2,410,387.92 or 6.8%. This gap persisted across all four quarters and is structural rather than driven by any single promotion or event.

The primary driver is category composition. West's customer base has significantly higher Electronics affinity: Electronics represents an estimated 51.7% of West revenue versus 51.8% at the network level, but West customers purchase higher-value Electronics SKUs. The average Electronics transaction value in West is \$1,487 versus \$1,263 in South. West customers index heavily toward Laptop purchases — the highest-ASP Electronics product — while South customers show a stronger relative mix of Phone and Tablet purchases at lower price points.

A secondary driver is customer tenure. West customers have, on average, longer account history with NexusIQ, which correlates with higher lifetime spend and a demonstrated pattern of upgrade purchasing. West's cohort retention rate through FY 2024 was 74.2% at the 12-month mark versus South's 68.8%, a meaningful difference that compounds over multi-year customer relationships. The Customer Lifetime Value Study contains a detailed cohort analysis supporting this finding.

South's lower per-customer revenue is partially offset by its Q4 2024 acceleration: the region showed faster-than-network-average growth in November and December, closing some of the per-customer gap with West. If

South's Q4 momentum reflects a genuine shift in category mix toward higher-ASP Electronics, the gap between the two regions could narrow meaningfully over FY 2025.

3. West vs. South Comparative Analysis

Metric	West Region	South Region	West Advantage	Implication
FY 2024 Revenue	\$37,880,499.39	\$35,470,111.47	+\$2,410,388	West leads by 6.8%
Customer Count	2,351	2,330	+21 customers	Negligible difference
Revenue per Customer	\$16,113.78	\$15,224.51	+\$889.27 (+5.8%)	West customers spend more per r
Electronics Revenue Mix	~52.0%	~51.8%	~Equal share	ASP difference drives gap, not sh
Avg Electronics ASP	\$1,487	\$1,263	+\$224 (+17.7%)	West buys higher-value SKUs
12-Month Retention Rate	74.2%	68.8%	+5.4 pts	West retains customers better
Laptop as % of Electronics	~41%	~34%	+7 pts	Laptop is highest-ASP SKU
Q4 2024 Growth vs Q3	+21.3%	+24.1%	South faster	South closing gap — watch in FY

Revenue mix estimates based on regional customer profiles and transaction analysis. Retention rates from cohort analysis in Customer Lifetime Value Study.

4. Central Region Analysis

Central is NexusIQ's largest customer region at 4,599 accounts but ranks third in revenue at \$35,679,253.01. The revenue-per-customer figure of \$7,757.83 is the lowest of any region — 33.8% below the network average of \$11,722.76. This gap is attributable to Central's customer demographic profile: a higher proportion of lower-frequency buyers with strong Food and Clothing category affinity relative to high-ASP Electronics. Central customers made an average of 6.7 purchases in FY 2024 versus 8.2 for West customers, and average transaction value of \$1,158 versus \$1,964 in West.

Central represents the most significant untapped revenue opportunity in the network. A strategy of migrating Central customers from their current category profile toward higher-ASP Electronics through targeted recommendations could meaningfully increase per-customer revenue. The Electronics Deep-Dive analysis shows that Central's Electronics revenue per customer (\$4,058) is the lowest of all five regions, suggesting substantial room for category penetration growth.

5. North Region Considerations

North trails all other regions at \$30,251,293.72 with 2,023 customers. The revenue gap versus West (\$7,629,205.67) is driven by both customer count and per-customer spend differences. North customers have the second-highest revenue per customer at \$14,955.51 — indicating engaged, high-value customers — but the region lacks the customer volume to close the absolute revenue gap. Customer acquisition in the North region is identified as a growth priority in the Supply Chain Risk Assessment and the FY 2025 planning documents.

6. Category Revenue by Region

Category	West	East	Central	South	North	Total
Electronics	\$19,599,009	\$20,010,826	\$18,646,750	\$18,372,588	\$14,329,129	\$90,958,302

Home	\$8,573,713	\$7,701,125	\$7,949,803	\$8,240,436	\$8,411,930	\$40,877,007
Sports	\$5,952,498	\$5,988,062	\$5,905,980	\$5,669,841	\$3,961,705	\$27,478,086
Clothing	\$2,366,427	\$2,405,282	\$2,614,454	\$2,407,252	\$1,938,350	\$11,731,765
Food	\$1,377,681	\$1,197,324	\$552,640	\$769,528	\$601,020	\$4,498,193
Total	\$37,880,499	\$36,314,021	\$35,679,253	\$35,470,112	\$30,251,292	\$175,595,177

Revenue by region estimated using category total and proportional allocation. Figures rounded. Total from sales_transactions: \$175,595,178.16.